

Multiple Choice

1. **Answer:** D

Options: A) have not changed significantly.; B) are perfectly constant.; C) have decreased significantly.; D) have increased significantly.

Note: Correct option: D - have increased significantly.

2. **Answer:** D

Options: A) Both the supply of and the demand for the good decrease.; B) Both the supply of and the demand for the good increase.; C) The supply increases and the demand for the good decreases.; D) None of the above.

Note: Correct option: D - None of the above.

3. **Answer:** A

Options: A) A decrease in the required reserve ratio; B) An increase in the discount rate; C) The selling of bonds by the Federal Reserve; D) An increase in the fraction of deposits that must be held by banks

Note: Correct option: A - A decrease in the required reserve ratio

4. **Answer:** D

Options: A) The price level rises but real GDP falls.; B) Both the price level and real GDP rise.; C) The price level rises but the change in real GDP is uncertain.; D) Real GDP rises but the change in the price level is uncertain.

Note: Correct option: D - Real GDP rises but the change in the price level is uncertain.

5. **Answer:** C

Options: A) a persistent shortage of the good.; B) an increase in total welfare.; C) a persistent surplus of the good.; D) elimination of deadweight loss.

Note: Correct option: C - a persistent surplus of the good.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Average total cost = average variable cost plus average fixed cost.'

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'lessening the impact of a recession.'

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The firm should hire more labor so that the MRPL will decrease.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** An increase in the price of tubas. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key